2025 in one page, and one warning

B LLC grew fast, kept little of it, and the family is carrying four open risks.

Revenue
$289,584
up 64% from 2024

Profit to the owner
$69,133
down 28%; 24% of revenue

Income tax paid
$1,745
$46 federal, $1,699 California

Company debt
$171,549
at about 21% interest

The $125,100 loan to the owner

Over several years the owner took $125,100 out of the company as a "loan": no written note, no interest, no repayments, no collateral. It is the largest asset on the books, and without it the company is about $125K underwater.

If the IRS calls it what it looks like, a distribution or hidden wages, the bill is roughly **$28,000 to $35,000** plus penalties. Lenders and the IRS both read this line first. Every scenario that follows starts by fixing it.

Four gaps

Undocumented loan
$125,100 and growing each year

No health insurance
unlimited medical risk, no deduction

No life protection
one earner, new spouse, $171K of guaranteed debt

No retirement savings
nothing set aside at age 31

1 Freeze the loan, document it, pay it down

First, close the open door

- Stop all new withdrawals from B LLC. Sign a note at the 4% federal rate and pay $25,000 of principal a year.
- Nothing else changes: revenue $600K then $750K, the owner stays on a $13,700 salary, married filing jointly, spouse not working for the company.
- This turns a tax exposure into an ordinary debt and sends cash back to the company to retire its 21% loans.

Summary

All taxes 2026 / 2027
$50.3K / $140K

Spendable 2026 / 2027
$322K / $362K

Retirement funded per year
$0

Protection
none

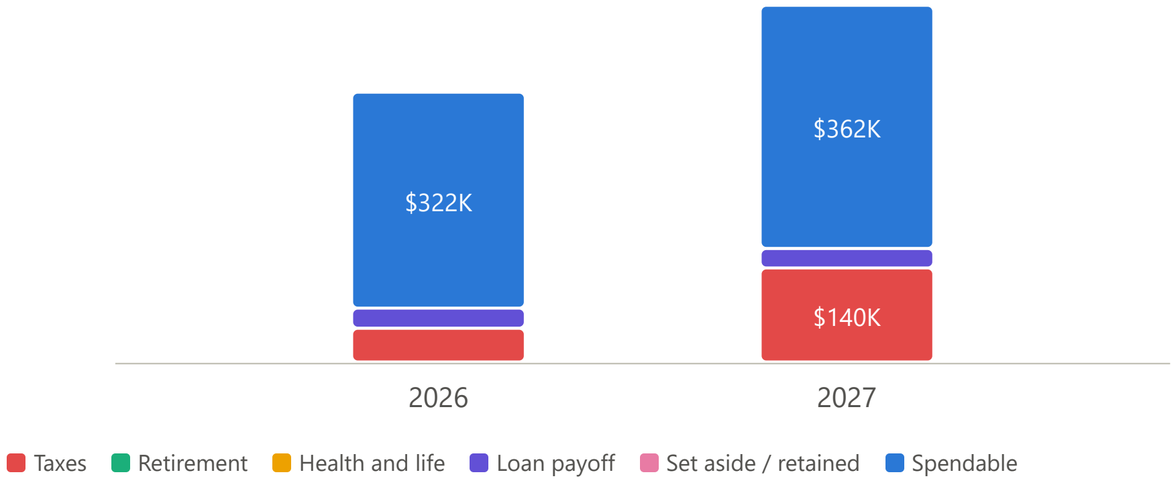
Loan at end of 2027
$75,100
paid off in five years

Set aside or retained per year
$0

Scenario 1 in numbers

	2026 · $600K revenue	2027 · $750K revenue
Business profit before owner and spouse pay	$350,201	$479,399
Owner salary	−$13,700	−$13,700
Spouse salary	$0	$0
Business income to the owner (K-1)	**$340,457**	**$468,655**
Household income (AGI)	$405,852	$534,050
Federal tax	$16,890	$92,840
California tax	$23,782	$35,704
Payroll taxes, both halves	$4,850	$4,850
All taxes	**$50,273**	**$140,068**
Retirement funded	$0	$0
Health and life premiums	$0	$0
Loan repaid	$25,000	$25,000
Set aside or retained	$0	$0
Spendable	**$321,619**	**$362,022**
Loan balance at year end	$100,100	$75,100

Where the money goes



Supporting points

- Married filing jointly keeps 2026 federal tax at $16,890 with help from one-time credits of $32,928.
- In 2027 the credits are gone and profit is higher: federal tax $92,840, total taxes $140,068.
- Spendable looks high only because nothing is being protected or saved. Every one of the four gaps is still open.
- With a $13,700 salary and $340K of profit, the "reasonable compensation" question is the next thing an examiner raises.

Freezing the loan is the floor, not the plan. The next steps use the business to fund the gaps.

2 Bring the spouse into the business

Make it a family business

- The spouse is paid $12,000 a year in W-2 wages for documented part-time work (bookkeeping, scheduling, marketing).
- Her wages are deductible to B LLC and taxed on the joint return, so income tax is a wash; the net cost is about $2K of payroll tax.
- What it buys: Social Security credits for her, a documented role, and eligibility for the retirement plan in the next step.

Summary

All taxes 2026 / 2027
$52.4K / $140K

Spendable 2026 / 2027
$320K / $362K

Retirement funded per year
$0

Protection
none

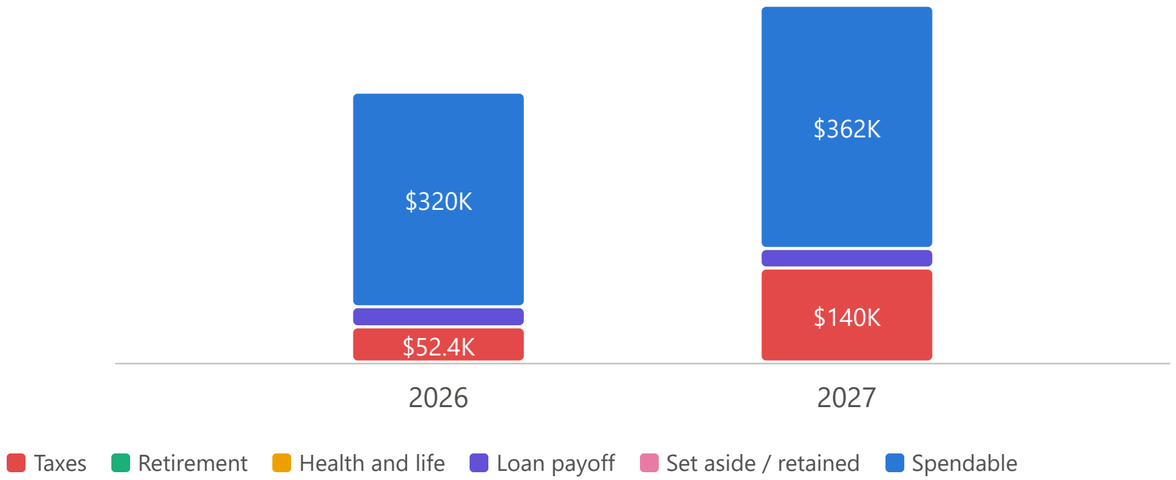
Loan at end of 2027
$75,100
paid off in five years

Set aside or retained per year
$0

Scenario 2 in numbers

	2026 · $600K revenue	2027 · $750K revenue
Business profit before owner and spouse pay	$350,201	$479,399
Owner salary	−$13,700	−$13,700
Spouse salary	−$12,000	−$12,000
Business income to the owner (K-1)	**$326,539**	**$454,737**
Household income (AGI)	$403,934	$532,132
Federal tax	$16,556	$90,306
California tax	$23,603	$35,526
Payroll taxes, both halves	$7,686	$7,686
All taxes	**$52,387**	**$139,983**
Retirement funded	$0	$0
Health and life premiums	$0	$0
Loan repaid	$25,000	$25,000
Set aside or retained	$0	$0
Spendable	**$319,505**	**$362,107**
Loan balance at year end	$100,100	$75,100

Where the money goes



Supporting points

- Total taxes move by $2,114 in 2026 and −$85 in 2027 compared with step 1.
- Still no retirement plan, no health insurance, no life insurance.
- The loan is still paid down at $25,000 a year; balance $75,100 at the end of 2027.

Steps 1 and 2 are housekeeping. Step 3 is where the household's position changes.

3 Fund retirement and health, set aside for growth, clear the loan in two years

Put the business to work for the family

- Owner salary $140,000; spouse $12,000. Both join a solo 401(k): $24,500 each from salary plus 25% from the company, $89,500 a year including Roth IRAs.
- B LLC pays the $18,000 family health premium, fully deductible.
- B LLC sets aside $100,000 of after-tax cash each year for expansion.
- The $125,100 loan is repaid $62,550 in 2026 and $62,550 in 2027 with distributions the owner immediately pays back, tax-free because the income is already taxed.

Summary

All taxes 2026 / 2027
$43.2K / $111K

Spendable 2026 / 2027
$83.6K / $147K

Retirement funded per year
$89,500

Protection
health only

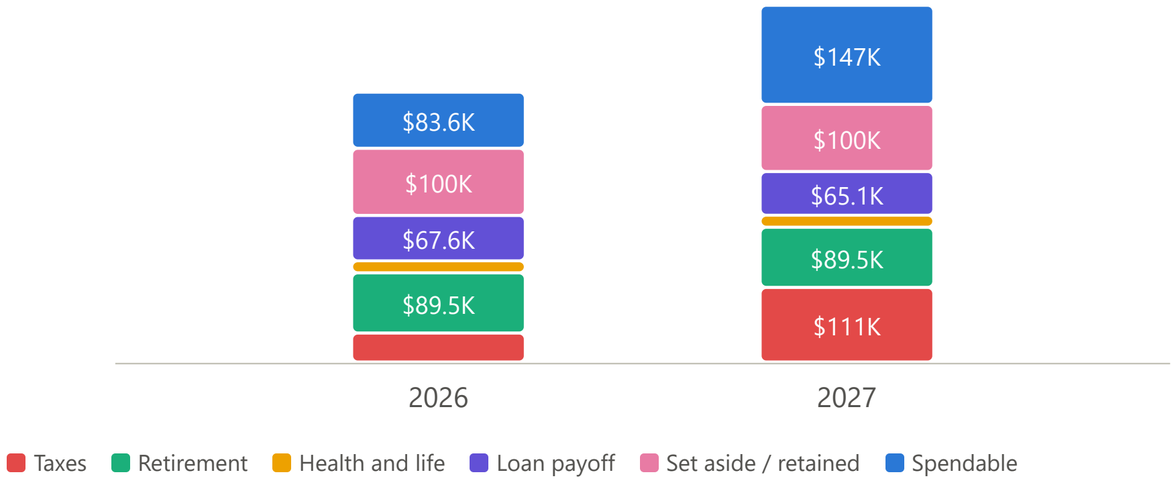
Loan at end of 2027
$0
cleared end of 2027

Set aside or retained per year
$100,000

Scenario 3 in numbers

	2026 · $600K revenue	2027 · $750K revenue
Business profit before owner and spouse pay	$350,201	$479,399
Owner salary	−$140,000	−$140,000
Spouse salary	−$12,000	−$12,000
401(k) employer contribution	−$38,000	−$38,000
Health insurance	−$18,000	−$18,000
Business income to the owner (K-1)	**$134,577**	**$261,273**
Household income (AGI)	$301,772	$428,468
Federal tax	$453	$54,622
California tax	$14,102	$25,885
Payroll taxes, both halves	$27,010	$27,010
All taxes	**$43,228**	**$111,080**
Retirement funded	$89,500	$89,500
Health and life premiums	$18,000	$18,000
Loan repaid	$62,550	$62,550
Set aside or retained	$100,000	$100,000
Spendable	**$83,614**	**$147,462**
Loan balance at year end	$62,550	$0

Where the money goes



Supporting points

- Taxes fall to $43,228 in 2026 even with payroll tax on the salaries: the 401(k) and health deductions remove $92,500 from taxable income.
- Retirement: $89,500 a year, $74,500 of it pre-tax.
- 2026 spendable of $83,614 is low because everything is front-loaded: set-aside, payoff, retirement and health in one year. 2027 recovers to $147,462.
- If year one is too tight, start the set-aside in 2027 or spread the payoff over three years; either adds the same cash back.

The loan is gone at the end of 2027 and $125,100 returns to the company to retire its most expensive debt.

4 Protect the family with cash-value life insurance

Insure the people who make it work

- Permanent policies: $24,000 a year for the owner (about $1.5M of coverage) and $12,000 for the spouse (about $750K), paid from personal, after-tax money.
- If the owner dies, $1.5M income-tax free replaces about ten years of spendable income and clears the company debt he has guaranteed.
- Cash value grows tax deferred and can be borrowed against later, a second retirement reserve.
- A $1.5M 20-year term policy costs under $1,000 a year and can be bound now while the permanent policies are designed.

Summary

All taxes 2026 / 2027
$43.2K / $111K

Spendable 2026 / 2027
$47.6K / $111K

Retirement funded per year
$89,500

Protection
health + $1.5M / $750K life

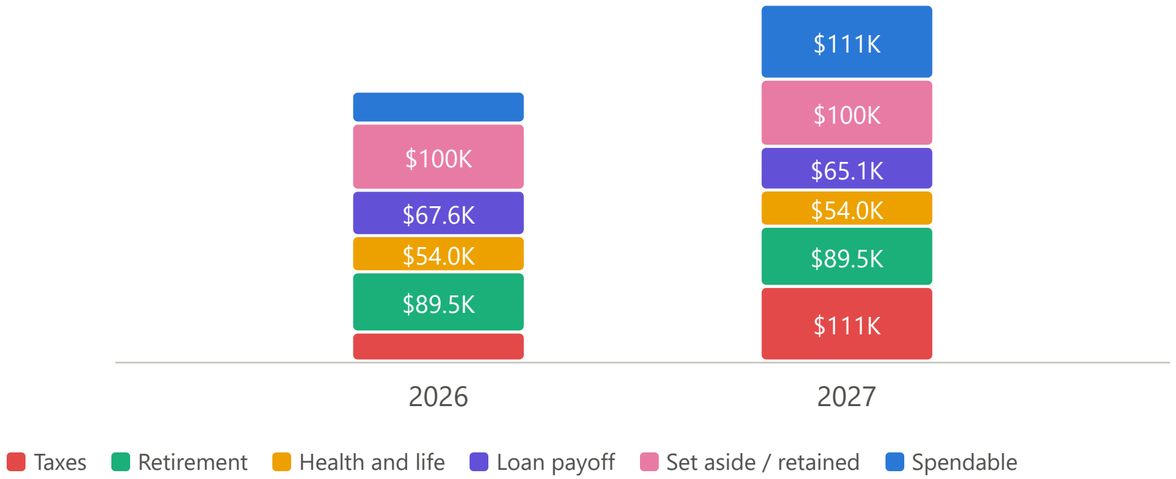
Loan at end of 2027
$0
cleared end of 2027

Set aside or retained per year
$100,000

Scenario 4 in numbers

	2026 · $600K revenue	2027 · $750K revenue
Business profit before owner and spouse pay	$350,201	$479,399
Owner salary	−$140,000	−$140,000
Spouse salary	−$12,000	−$12,000
401(k) employer contribution	−$38,000	−$38,000
Health insurance	−$18,000	−$18,000
Business income to the owner (K-1)	**$134,577**	**$261,273**
Household income (AGI)	$301,772	$428,468
Federal tax	$453	$54,622
California tax	$14,102	$25,885
Payroll taxes, both halves	$27,010	$27,010
All taxes	**$43,228**	**$111,080**
Retirement funded	$89,500	$89,500
Health and life premiums	$54,000	$54,000
Loan repaid	$62,550	$62,550
Set aside or retained	$100,000	$100,000
Spendable	**$47,614**	**$111,462**
Loan balance at year end	$62,550	$0

Where the money goes



Supporting points

- Taxes, retirement and the loan payoff are identical to step 3. The only change is $36,000 a year of premiums.
- Paid personally, $36,000 after tax is about $54,000 of earnings at the household's combined 33% marginal rate.
- Spendable: $47,614 in 2026 and $111,462 in 2027.
- An S corporation cannot pay these premiums for its owner on a tax-favored basis. That is what step 5 changes.

$47,614 in 2026 is not a livable number. In practice the set-aside or the payoff pace gives way in year one; this step shows what full protection costs when paid personally.

5 A sibling C corporation pays for protection and the payoff

Let a second company carry the load

- The owner forms a C corporation alongside B LLC (it cannot own B LLC without ending the S election). It handles sales, marketing, HR and management and bills B LLC $320,000 in 2026 and $440,000 in 2027.
- The C corp runs payroll, the 401(k) and the health plan (a tax-free benefit there), and pays its own tax at about 28%.
- What it keeps is lent to the family on documented 4% notes: the $36,000 of premiums first (policies pledged as collateral), then the loan payoff to B LLC, then money for acquisitions.
- At death the policies repay the C corp and the family keeps the rest tax free.

Summary

All taxes 2026 / 2027
$58.9K / $113K

Spendable 2026 / 2027
$163K / $149K

Retirement funded per year
$89,500

Protection
health + $1.5M / $750K life

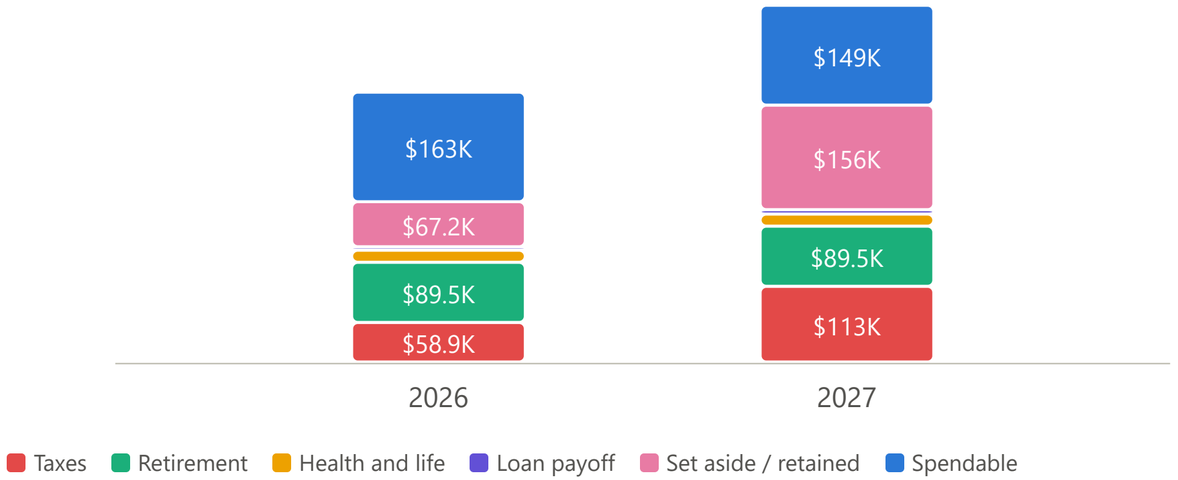
Loan at end of 2027
$0
cleared end of 2027

Set aside or retained per year
$155,600

Scenario 5 in numbers

	2026 · $600K revenue	2027 · $750K revenue
Business profit before owner and spouse pay	$350,201	$479,399
Fee paid to the C corp	−$320,000	−$440,000
Business income to the owner (K-1)	**$35,205**	**$43,153**
C corp: wages, 401(k), health, overhead	−$226,628	−$226,628
C corp tax (21% + 8.84%)	−$26,129	−$60,462
C corp keeps	**$67,243**	**$155,600**
Household income (AGI)	$202,400	$210,348
Federal tax	$0	$18,876
California tax	$5,008	$5,643
Payroll taxes, both halves	$27,010	$27,010
All taxes	**$58,947**	**$112,791**
Retirement funded	$89,500	$89,500
Health and life premiums	$54,000 (lent by C corp)	$54,000 (lent by C corp)
Loan repaid	$31,243 (lent by C corp)	$93,857 (lent by C corp)
Set aside or retained	$67,243	$155,600
Spendable	**$163,202**	**$148,759**
Loan balance at year end	$93,857	$0

Where the money goes



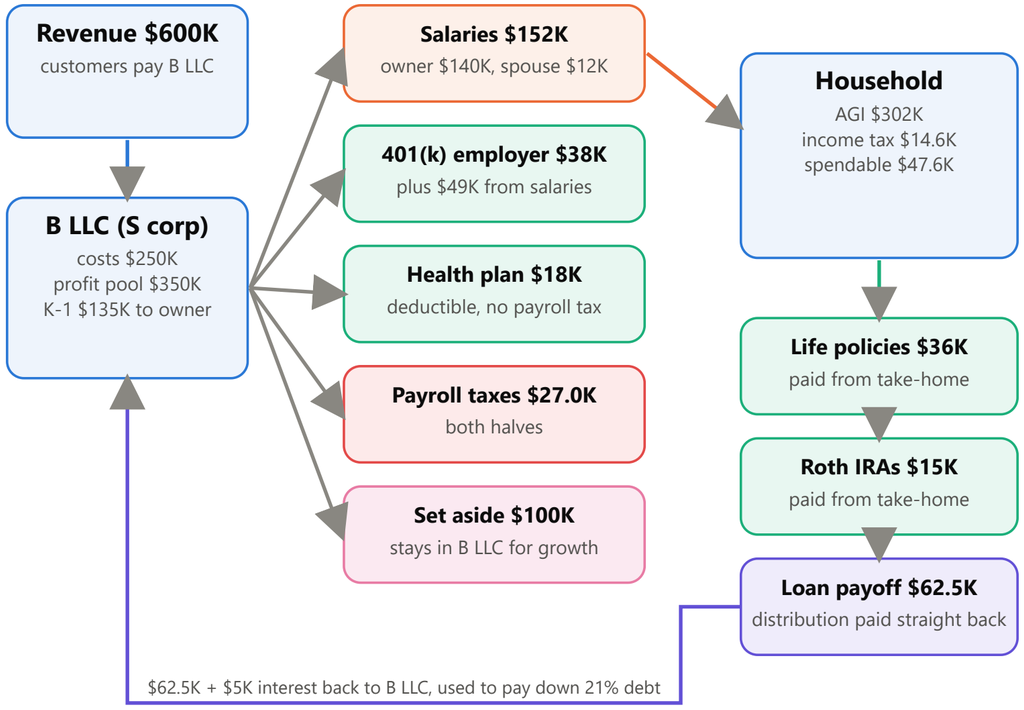
Supporting points

- Personal tax nearly disappears: $0 federal and $5,008 California in 2026, because most profit is taxed in the C corp at 28% instead of 24% plus 9.3% at home.
- Spendable is $163,202 in 2026 and $148,759 in 2027, far above step 4, because premiums and the payoff come from corporate dollars; the family pays only 4% interest.
- Year one the C corp funds the premiums and $31,243 of the payoff; the rest of the loan clears in 2027 and acquisition money ($25,743) starts.
- By the end of 2027 the owner owes his own C corp $197,100 on documented notes. That is real debt, not a tax exposure.

Conditions: a real services agreement, interest actually paid each year, collateral assignments filed, and board minutes for the acquisition plan. Anything later paid out as a dividend is taxed twice.

Two ways to run it: one company or two (2026)

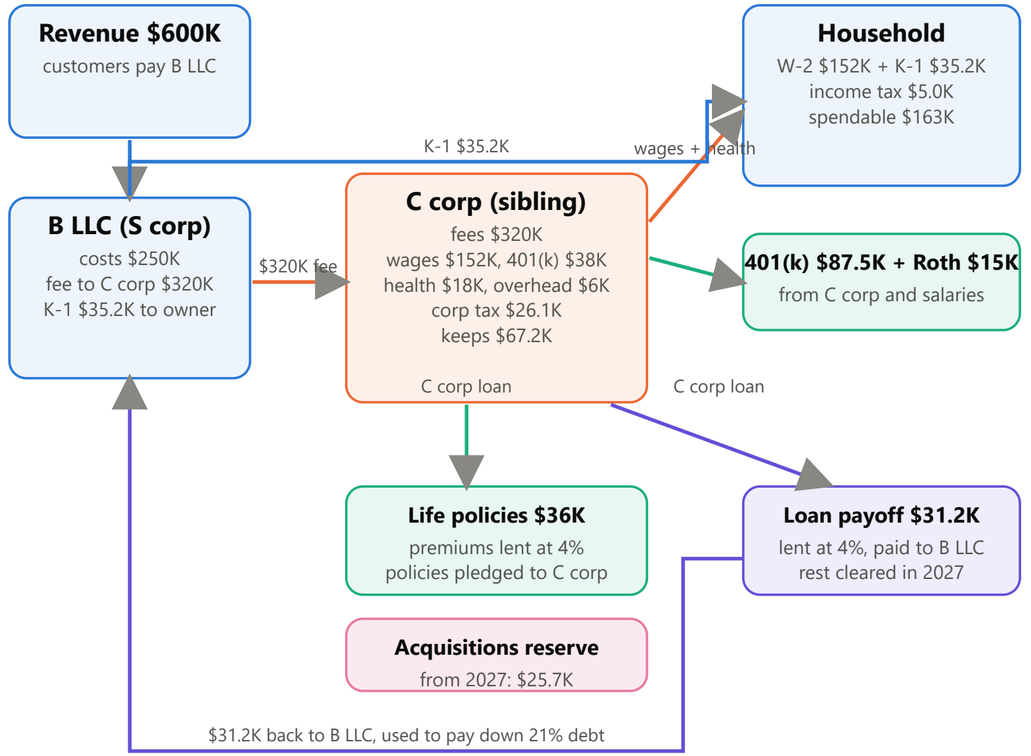
Scenario 4 · B LLC only



One company. Everything the family keeps or protects is paid with after-tax dollars.

All taxes $43.2K · retirement $89.5K · spendable $47.6K

Scenario 5 · B LLC plus a sibling C corp



Two companies. Protection and the payoff are funded with corporate dollars taxed at 28%.

All taxes $58.9K · retirement $89.5K · spendable $163K · owner owes C corp $67.2K

Questions, decisions and next steps

Decisions to make today

- Pace of the loan payoff: two years (steps 3 to 5) or five years (steps 1 and 2)?
- Owner salary: $140,000 as modeled, or a different level?
- Expansion set-aside: $100K a year starting 2026, or start in 2027?
- Life insurance: permanent policies now, or term now and permanent later?
- Form the C corporation for 2027, or stay with one entity?

Action items in the next 30 days

- Sign a 4% note on the $125,100 loan and make the first payment.
- Put the owner and spouse on payroll; set withholding to cover the projected tax.
- Enroll the family health plan through B LLC.
- Bind a $1.5M term policy on the owner; request permanent-policy illustrations for both.
- Open the solo 401(k) and Roth IRAs.
- Send every loan repayment to the Fundbox and Headway balances.

For the next 90 days

- Preparer to confirm the credit carryforwards and rerun 2026 estimates.
- Attorney to draft the services agreement and split-dollar notes if the C corp proceeds.
- Decide the acquisition plan that justifies retained earnings.
- Review travel, meals and vehicle spending ($90K in 2025).
- Revisit the California pass-through entity election.

Recommended path: execute steps 1 to 3 now, bridge protection with term insurance, design the permanent policies, and form the C corporation for 2027 if the owner wants to retain earnings for acquisitions and fund the policies through it.

Planning analysis built from the 2025 federal and California returns under 2026 rules. Not tax, legal or insurance advice; the preparer, an attorney and a licensed insurance professional should review before anything is signed. Supporting detail: five-scenarios-guided.html and the scenario pages.